

REDDING BUSINESS PARK, LLC VS. AMAZING FINDS, LLC, ET AL.

Case Number: CVCV19-0192492

Tentative Ruling on Motion for Summary Judgment and/or Summary Adjudication: Plaintiff Redding Business Park, LLC moves for summary judgment and summary adjudication. As noted below, the motion is opposed by Defendant Julie Umali only.

Procedural Issues. There are two named defendants in this matter, Defendant Amazing Finds, LLC (Amazing Finds) and Defendant Julie Umali. Counsel has been relieved as to both defendants which leaves both unrepresented. By not hiring counsel, Julie Umali has elected to proceed as a self-represented litigant. The Court has repeatedly cautioned Julie Umali that she cannot appear on behalf of or represent Amazing Finds as it is a corporation and representing a corporation would constitute the unauthorized practice of law. See *CLD Construction, Inc. v. City of San Ramon* (2024) 120 Cal. App. 4th 1141. Julie Umali, on behalf of Amazing Finds and herself, filed an Opposition and supporting documents on July 15, 2024. Julie Umali, on behalf of herself only, filed an Opposition on August 30, 2024. The Court is only considering the Opposition filed by Julie Umali on August 30, 2024, as it appears that the August 30, 2024, Opposition is meant to replace the July 15, 2024, Opposition and because the July 15, 2024, Opposition appears to have been filed in violation of Business & Professions Code § 6125. The Court strikes the following documents filed by Julie Umali on behalf of Amazing Finds and Julie Umali on July 15, 2024:

- Defendant Julie Umali and Amazing Finds, LLC's Compendium of Evidence
- Declaration of Julie Umali
- Defendant Julie Umali and Amazing Finds, LLC's Separate Statement
- Defendant Julie Umali and Amazing Finds, LLC's Opposition

In the Reply filed on July 17, 2024, Plaintiff argues that the Opposition filed on July 15, 2024, was untimely. This issue has been mooted by the continuance of the hearing and because the July 15, 2024, Opposition was stricken. The August 30, 2024, Opposition was timely filed for a September 16, 2024, hearing.

The Court notes that hearing on this motion was continued from July 22, 2024, to today's date at the request of Plaintiff. The basis for this request is that Plaintiff had not filed any evidence with the motion which resulted in a Tentative Ruling denying the motion. Plaintiff asserted at the hearing that the evidence for the motion had been provided to the fax filing agency. Over Julie Umali's objection, the Court continued the hearing for Plaintiff to provide such evidence. The Court did not make a ruling whether the evidence would be accepted. The Court has reviewed the Declaration of Lisa Brown filed on August 9, 2024, and finds that the error was on the part of the fax-filing agency and is not attributable to Plaintiff. The Court will consider Plaintiff's Exhibit List and Exhibits for Motion for Summary Judgment and Summary Adjudication filed on August 9, 2024.

Legal Standard for Summary Judgment. CCP § 437c(c) states a motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue of material fact and that the moving party is entitled to judgment as a matter of law. "A plaintiff or cross-complainant has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." CCP § 437c(p)(1). "Because summary judgment is a drastic measure that deprives the losing party of trial on the merits, it may not be invoked unless it is clear from the declarations that there are no triable issues of material, fact." *Johnson v. Superior Court* (2006) 143 Cal. App. 4th 297, 304.

Summary Judgment. Plaintiff seeks summary judgment on the Complaint, First Amended Complaint, Second Amended Complaint, and Third Amended Complaint. As the Third Amended Complaint is the operative

pleading, having replaced all complaints and amended complaints filed prior, the Court will consider summary judgment as to the Third Amended Complaint only. The Third Amended Complaint was filed on August 5, 2019. While Plaintiff argues both a breach of contract cause of action and a common counts cause of action, the only cause of action alleged in the Third Amended Complaint is for breach of contract. Under Item 8, only the Breach of Contract box was checked. The box for Common Counts was left blank. There is no attachment to address common counts. Therefore, Plaintiff only has one pending cause of action for breach of contract. Additionally, while Plaintiff listed several ways that Plaintiff alleges Amazing Finds breached the lease agreement, the only breach alleged in the Third Amended Complaint is “failing to pay lease payments.”

The evidence provided by Plaintiff shows that Plaintiff and Amazing Finds entered into commercial lease on June 8, 2016. Plaintiff’s Ex. A (signed copy) and Ex. B (legible unsigned copy). Julie Umali signed the lease on behalf of Amazing Finds. Plaintiff’s Ex. A. The lease is for a term of June 1, 2016, to an illegible date in May of 2017 with a monthly rental amount of \$3,000. The use listed in the lease is for “Furniture Storage and 10% retail and/or any allowable zoning use.” Item 16 addresses Amazing Finds’ use of signs and includes that Plaintiff’s express written consent for a sign will not unreasonably be withheld. Item 32 includes an option to renew the lease for an additional 12 months at the rate of \$4,000 per month. Item 38 includes that the “Building is being leased in an ‘AS-IS’ condition.” The Addendum includes a second option to renew for months 24-48 at \$6,000 per month. The landlord’s responsibility for tenant improvements is capped at \$7,500 initially with an additional \$7,500 upon the exercise of the second option for months 25-48.

On January 41, 2017, Rene Umali emailed Mikel Rastegar indicating that he was exercising his “option to renew the lease as per section 32 of the lease.” Plaintiff’s Ex. N. On February 20, 2018, Rene Umali emailed Mikel Rastegar and wrote, “Please take this email as my notice to renew my lease for a 3rd year while I either look for another location to move or build.” Plaintiff’s Ex. O. That was withdrawn via an email sent by Rene Umali on May 20, 2018. Plaintiff’s Ex. P. Per Item 29 of the lease, any holding over after expiration of the lease, with consent of the lessor, will be a month-to-month tenancy at a monthly rate equal to rent for the immediately preceding month plus \$1,000. Mikel Rastegar declares that Amazing Finds did not vacate the premises until approximately November 10, 2018. Rastegar Decl. ¶ 76. Text messages between Amazing Finds and Mikel Rastegar reveal that the number saved as “Redding Tennat Amazing Finds Cell” wrote, “We are done. Key is under 2-gallon bucket on the loading dock. This is your formal notice” on October 26, 2018. Rastegar Decl. ¶ 76; Plaintiff’s Ex. CC. Mikel Rastegar asked about the key to the gate which Amazing Finds still had and Mikel Rastegar text back, “You are deemed to still be in possession.” Plaintiff’s Ex. CC.

Prior to signing the lease, the parties exchanged emails regarding the potential use of the property. Plaintiff’s Ex. C. On April 28, 2016, Rene Umali emailed Mikel Rastegar stating that he had spoken with the Redding Planning Department and they would not allow retail activity in a General Industrial Zone. Plaintiff’s Ex. C. On April 30, 2016, Rene Umali emailed Mikel Rastegar and stated that he had spoken with one of his investors about using the 20,000 sq. ft. building without needing a variance. Plaintiff’s Ex. C. On May 20, 2016, Rene Umali emailed again stating that he and Julie decided to lease the “warehouse to temporarily store and process” items. Plaintiff’s Ex. C. On August 8, 2016, Rene Umali emailed Mike Rastegar about Amazing Finds wanting to use the location to be a U-Haul dealer and Mike Rastegar responded on the same date that this was rejected. Plaintiff’s Ex. G. Issues arose between the parties regarding the parking lot and drainage two months into the lease. Rastegar Decl.; Plaintiff’s Ex. H. In August of 2016, the parties were also in disagreement about who was responsible for maintenance of the parking lot and loading dock area. Plaintiff’s Ex. J. The parties were also in disagreement regarding the Tenant Improvements as early as September 2016, with Rene Umali emailing on July 21, 2016, that he was considering legal action. Plaintiff’s Ex. K. Some Tenant Improvements were completed but the parties were in disagreement regarding payment. Plaintiff’s Ex. J and L. There was a dispute in September of 2016 about whether the gate was secure and also a dispute regarding storage of items outside of the building. Plaintiff Ex. L.

A Notice of Violation was issued by the City of Redding on September 12, 2017, for lack of building permits, a banner, outdoor storage, and the driveway/parking area. Plaintiff's Ex. Q. In late 2017 and early 2018, the parties were in a dispute regarding the violations alleged in the Notice of Violation. Plaintiff's Ex. R. An Administrative Citation was issued on February 2, 2018, to Rene Umali for debris outside and a deteriorated parking paved area. Plaintiff's Ex. S. The parking lot is an issue that Rene Umali and Mikel Rastegar appear to have been in disagreement about from 2016 until after the citation was issued. Plaintiff's Ex. T. Another citation was issued on April 6, 2018. Plaintiff's Ex. U. In May of 2018, Rene Umali requested that Mikel Rastegar confirm to the City of Redding that Mikel Rastegar approved the use of 10% of the entire complex for showroom space. Plaintiff's Ex. P.

Plaintiff seeks rent partial rent from June of 2018, and full holdover rent for July-November 2018 as well as late fees, a locksmith, door repair, employee time, and advertisements.

The elements of breach of contract are: 1) a contract; 2) plaintiff's performance of the contract or excuse for nonperformance; 3) defendant's breach; and 4) resulting damage to the plaintiff. *Richman v. Hartley* (2014) 224 Cal. App. 4th 182, 1186.

Amazing Finds. Amazing Finds is the lessee in this matter. There appears to be a valid contract as the lease was written and is in the standard form for a commercial lease. No evidence has been provided regarding who Rene Umali is or his authority to exercise the lease options. Therefore, Plaintiff has not established that the lease options were properly exercised. However, Plaintiff has established that Amazing Finds occupied the premises until at least October 28, 2018, which would make Amazing Finds a holdover tenant regardless of the lease options being exercised.

Regarding the second element, Plaintiff has not met their burden of showing that Plaintiff performed under the contract or was excused from performance. There is a triable issue of material fact as to the date that Amazing Finds vacated the premises. There is a triable issue of material fact as to whether Plaintiff performed under the contract or was excused from nonperformance. Plaintiff provided ample evidence that there were disputes early on and throughout the duration of the lease regarding who was responsible for what. The issue of who was to maintain and repair the parking lot is a triable issue of material fact. The issue of whether Plaintiff complied with Item 16 which requires that Plaintiff not unreasonably withhold written permission for a sign is a triable issue of material fact. Whether Plaintiff complied with the agreement regarding Tenant Improvements is a triable issue of material fact.

Julie Umali. On the Third Amended Complaint, Item 9 is checked and it is alleged that, "Defendant, Julie Umali, is the 'alter ego' of Amazing Finds, LLC and failed to comport with corporate formalities." The issue of alter ego is not addressed in the moving papers. No facts were set forth regarding an alleged alter ego and this issue is not listed in the Notice of Motion and Motion or Memorandum of Points and Authorities. Therefore, the Court has not been provided with sufficient evidence or argument to find that Amazing Finds is an alter ego for Julie Umali.

Summary Adjudication of Cross-Complaint. Defendants Amazing Finds, LLC and Julie Umali filed a Cross-Complaint on January 12, 2022. The Cross-Complaint alleges nine causes of action. CRC 3.1350(c) requires that a memorandum in support of Plaintiff's motion for summary adjudication be filed. While Plaintiff filed a Memorandum of Points and Authorities, it does not address the merits of any of the nine causes of action alleged in the Cross-Complaint. No legal authority or analysis has been provided.

The motion is **DENIED** in its entirety. Plaintiff provided a proposed order that will be modified to reflect the Court's ruling. The Court confirms the trial date of October 29, 2024.